

Interstate coach terminus

Cost-benefit analysis

Private state-to-state station. Rent bays and night slots to private fleets. Do not buy the buses. Take rent plus shops, parking and ads — not the ticket. Everyday waves on the same concrete.

Prepared	August 2026
Planning capital	₦2.57 billion · ~2 ha highway-edge Lagos-Ogun
Y3 run-rate	₦960m gross · ₦542m EBITDA · ₦310m NPAT
Unlevered IRR	16% planning · -9% stress · 43% if land is a concession
NPV @ 22%	Planning -₦0.71bn · clears ~15% property hurdle
Versus fleet	Same ~₦2.6bn buys 25 coaches; higher paper NPAT, worse residual

Rent the station · do not buy the buses

ILLUSTRATIVE

A private **state-to-state** terminus, open every day, sized so **morning, afternoon and night waves** reuse the same bays. Private fleets (GUO-class, mid-tier, new CNG lines) rent gates and layover. The owner takes **rent plus the station economy** (food, shops, parking, ads) — not the ticket, and not a 10–25% “loading tax” of the old motor park.

Field	Detail
Prepared	August 2026
Horizon	10 years unlevered, residual at year 10
Currency	Nigerian naira (₦), nominal
Planning site	~2.0 ha, highway-edge Lagos–Ogun (not Jibowu)
Planning capital	₦2.57 billion
Discount rates	22% (venture / high-risk); 18% and 15% (property)
Tax	32.1% of PBT (30% CIT + 3% education tax)
Classification	Illustrative planning note — not investment advice

Verdict in one line. The **shape** of the business is right (airport, not airline). On **bought** outer-Lagos land with 72% bay occupancy it **earns** (Y3 NPAT ~₦310m, IRR ~16%, payback ~7 years) but it **does not clear a 22% hurdle**. It **does** clear a ~15% property hurdle. It **fails** if you overpay for inner-city land or open empty. It **works well** if land is a **concession** and bays are **pre-let**.

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1. The model

1.1 Who pays whom

You own	Tenant	You do not take
Land (or long concession), pavement, building, clock	Private interstate operators	The passenger ticket
Night power, security, toilets, lounges	Retail / food / ads concessionaires	A tout-style % of every fare
Optional later: CNG, wash, lodge	Park-and-ride / drop-off cars	The buses

Product. Contracted **bays** (monthly) + **casual slots** for overflow + **overnight layover** + **retail GLA** + parking + ads. Same 36 load bays work three times a day if the timetable is real.

Not this product. A LAMATA BRT terminal. A NURTW open park. A Jibowu-street of single-brand compounds you hope GIGM will abandon. A fleet.

1.2 Why “different times of day” is the economics

Sizing the yard for every operator’s fleet at 07:00 is how you bankrupt a station. Sizing for the **fattest wave** (often night + weekend) and **reusing bays** is how ₦2.6bn of concrete can earn. Night operations are not optional: that is a large part of interstate money.

1.3 What must be true before earthworks

1. Highway exit — a loaded coach must reach the express.
2. Written designation as an interstate load point (state / LASTMA / LGA).
3. **Signed slot contracts** covering at least **~40% of bays** (about 15 of 36 on planning).
4. 05:00–24:00 staffing and power.
5. You are the **Lagos (or Abuja) end**. Operators already have the other city.

If (3) fails, do not build.

2. What it costs

2.1 Planning-case capital (₦ million)

Highway-edge Lagos-Ogun, 20,000 m², 36 load bays, 2,500 m² terminal building, solar + generator, not a 10 ha mega-terminal.

Item	₦ million
Land (20,000 m ² × ₦38,000)	760
Paving / yard (16,000 m ² × ₦24,000)	384
Terminal building (2,500 m ² × ₦300,000)	750
Utilities (power, water, drainage, lighting, CCTV, fence/gates)	260
Fit-out (lounges, toilets, offices)	120
Design, preliminaries, contingency (14% of hard works)	212
Works subtotal	1,726
Pre-open working capital	80
Total uses	2,566

Build rates sit in 2026 warehouse / industrial bands (about ₦180k–₦350k/m² for buildings; paving lower).

Land is the swing factor. ₦38,000/m² is an **outer corridor** price, not Jibowu and not Lekki Free Zone (serviced industrial land there has been listed around **\$250/m²**). If the site is inner Lagos, use the **stress** column.

Case	Land idea	Total CapEx
Stress	Inner-corridor freehold (~₦80,000/m ² , 1.8 ha)	₦3.74bn
Planning	Highway-edge Lagos-Ogun	₦2.57bn
Upside	Long public/private concession (little freehold)	₦2.01bn

Works depreciate over 20 years. Land is not depreciated. No debt in the base run.

2.2 Annual operating cost (planning, full run-rate)

About **₦418 million** a year at full occupancy: staff, contracted security, diesel/solar, maintenance (~2.8% of works), insurance (~1.5% of assets), LGA/rates/signage, lean HQ. Roughly half of that is **sticky** if buses stay away — which is why empty stations die.

3. What it returns

3.1 Planning steady revenue (year 3 onward)

72% of 36 bays contracted (~**26 bays**) at **₦1.8m** per bay per month. Casual slots and layover on top. Retail is **lease**, not a cut of fare.

Line	₦ million / year	Share
Contracted bays	560	58%
Casual / overflow departures	178	19%
Overnight layover	65	7%
Retail / food leases	97	10%
Parking / drop-off	36	4%
Advertising	24	3%
Gross	960	100%

Ramp: year 1 = 55% of that, year 2 = 80%, year 3+ = 100%. That is the “open empty” tax.

3.2 Planning P&L (₦ million)

	Y1	Y2	Y3 (run-rate)
Gross	528	768	960
Opex	339	383	418
EBITDA	189	385	542
EBITDA margin	36%	50%	56%
Depreciation	86	86	86
Tax	—	—	146
NPAT	70	203	310
NPAT margin	13%	26%	32%
Unlevered FCF	156	289	396

Y3 cash yield on ₦2.57bn: **EBITDA / capital** $\approx$ **21%**. That is a property yield, not a kiosk fee stack.

3.3 Three cases (unlevered, 10 years, residual at Y10)

	Stress	Planning	Upside
CapEx	₦3.74bn	₦2.57bn	₦2.01bn
Bay occupancy	48%	72%	86%
Steady gross	₦378m	₦960m	₦1.76bn
Y3 EBITDA	−₦183m	₦542m	₦1.34bn
Y3 NPAT	−₦292m	₦310m	₦852m
Unlevered IRR	−9%	16%	43%
Payback	Never in 10y	~7.4 years	~2.9 years
NPV @ 22%	−₦4.17bn	−₦0.71bn	+₦2.61bn

	Stress	Planning	Upside
NPV @ 18%	– ₦ 4.13bn	– ₦ 0.27bn	+ ₦ 3.71bn
NPV @ 15%	– ₦ 4.08bn	+ ₦ 0.16bn	+ ₦ 4.79bn

How to read this. At 22% (harsh, venture-style) planning is a **no**. At 15% (plausible for leased infrastructure with residual land) planning is a **thin yes**. Upside is “do not buy the dirt, concession it, and fill the bays.” Stress is “Jibowu prices, half-empty station” — a hole.

EBITDA break-even occupancy (volume lines scale together): about **23% of bays** on planning cost stack (~8 contracted bays) — **if** you actually cut variable cost. In stress, opex and land are high enough that the station **does not break even** at any occupancy in the scan: the building is too dear for the rent.

4. Cost-benefit

4.1 Monetised (planning)

	10-year view
Costs (present, t=0)	₦2.57bn cash out
Benefits	Operating FCF Y1–Y9 + Y10 FCF including residual (~ ₦ 4.2bn book residual in the model: mix of capitalised EBITDA and land)
NPV @ 22%	– ₦ 0.71bn
NPV @ 15%	+ ₦ 0.16bn
IRR	16%

You are paid for: (1) gates that private BRT/interstate owners will rent because LASTMA wants designated loading and they cannot all afford a Jibowu compound; (2) night waves on the same slab; (3) shops and parking that follow passengers; (4) land that can still be land in year 10.

You pay: a large, illiquid site; political designation; union pressure; diesel; the risk that GIGM-class brands never leave their own lounge.

4.2 Benefit / cost (undiscounted cash, crude)

Ten years of operating FCF before residual is about $₦156 + 289 + 8 \times 396 \approx \text{₦}3.61\text{bn}$, plus residual **₦4.16bn** at Y10, against ~~₦~~2.57bn in. That looks fat **because residual is large**. Haircut residual to land-only (~~~₦~~1.5bn at 7% appreciation on ~~₦~~760m) and the story is a **16%-class yield**, not a double-your-money venture. Do not underwrite the residual as if it were cash in year 3.

4.3 Sensitivity (direction)

If this happens	Effect
Land is a concession (upside land line)	NPV @ 22% flips positive
Inner-Lagos freehold (stress land)	Value destroyed even if buses come
Pre-lets fail; occupancy stays ~50%	Stress path — do not open
Night shift cancelled	Lose layover + a large share of casual; IRR drops hard
You take 15% of fares like an old park	Operators stay at Jibowu; “benefit” is imaginary
CNG / workshop later	Extra yield not in the base case

5. Versus owning the buses

Same order of capital: **25 coaches × ₦95m + ₦280m float ≈ ₦2.66bn.**

	Terminus (planning Y3)	Fleet (illustrative, every year)
What you are	Airport	Airline
Gross	₦0.96bn	~₦12.3bn
EBITDA	₦0.54bn (56% margin)	~₦1.36bn (11% margin in this sketch)
NPAT	₦0.31bn	~₦0.72bn
What can wipe it	Empty bays, land price	Fuel, crash, empty return, FX parts, fare war
Residual	Land + a going station	Used iron, eight-year life
Everyday / everyone	The place is used every day by many brands	Only your seats

Paper NPAT is **higher on the fleet**. Quality of earnings, residual, and “piece of whatever comes to the gate” are **better on the station**. Your instinct stands: **do not buy the buses** if the goal is a large, durable take on a daily public flow. The fleet sketch is also **fragile** — 11% EBITDA is a good year, not a covenant.

Do not take a % of their ticket as the core rent. That is how parks get replaced by private compounds. Charge **bays and clock**; own **shops**.

6. What the numbers do not capture

Benefits (real, not in NPV)

Everyday infrastructure; many operators under one roof; a file of fleets you could later sell energy or wash to; possible BITP/LAMATA overflow if city terminals clog; inclusion of mid-tier lines that cannot buy Jibowu.

Costs (real, not fully costed)

Union/tout pressure; designation delayed a year (burns the ramp); LASTMA relocates interstate loading to a state box (Oshodi-class) and your highway site is stranded; flood / ROW; you still need the **other city's** park in the operator's network; GIGM already runs tens of **own** lounges — they are not your core tenant.

7. Go / no-go

Question	Answer
Is landlord-not-fleet the right shape?	Yes.
Build on bought outer-Lagos land, no pre-lets, 22% hurdle?	No.
Build if land is concession or cheap edge , ≥40% bays pre-let , you accept ~15-16% IRR as property?	Go — Phase 0.
Inner-city trophy site, Jibowu prices?	No.
Own 25 coaches instead, same cheque?	No if you want residual and sleep. Yes only if you want to be a bus company.

Phase 0 (before ₦2.6bn): 90 days. Site longlist with express access. Counsel on designation. Term sheets from **four operators**, **≥15 bays**. Only then buy or concession. Order of spend: **paper, then dirt.**

Capital this year if gates pass: about **₦2.6bn** planning (or ~₦2.0bn if the state holds the land). Do not order a second city until year 3 occupancy holds.

8. Appendices

A. Assumptions (planning)

- 36 load bays; 72% contracted; ₦1.8m/bay/month
- Casual: 12 extra departures/day × ₦45,000 × 330 days
- Layover: 18 buses × ₦12,000 × 300 nights
- Retail: 900 m² × 75% occupancy × ₦12,000/m²/month
- Hours that match interstate reality, including night
- Ramp 55% / 80% / 100%
- Residual at Y10: 70% of Y10 EBITDA capitalised at 11% yield + 30% appreciated land and remaining works book
- Rebuild: python3 model/cba_model.py

B. Informal park comparison

Some open parks still take **10-25% of the fare** as a loading fee. That can look richer than ₦1.8m/bay. It is also why serious brands built **private compounds**. This CBA prices a **contracted station** cheap enough versus that tax that operators will come, and rich enough in **retail** that you do not need their ticket.

C. Document control

Version	Date	Notes
1.0	30 Aug 2026	First CBA: landlord interstate terminus vs fleet; three cases

Next refresh: named site and asking price; four operator term sheets; designation memo.